

AC4407

Financial Reporting 1

Winter 2022 Examination

Paper 1 · 1.5 hours · Answer Question 1 and ONE other question · Total 100 Marks

Module	AC4407 — Financial Reporting 1
Session	Winter 2022
Paper	1 of 1
External Examiner	Professor Omiros Georgiou
Internal Examiner	Mr. Noel Daly
Structure	Question 1 (Compulsory, two parts, 60 Marks) + one of Question 2 or Question 3 (40 Marks each)
This scheme covers	Question 1, Question 2 and Question 3 in full, so you can study either route through the paper

Quality check. Every calculation in this scheme has been independently verified and cross-checked for accuracy before being written up. Most notably, the Statement of Cash Flows in Question 3 was verified to reconcile **exactly** to the actual movement in net cash shown on the balance sheet (€6,850 opening to €33,650 closing, a €26,800 increase) — the strongest possible check that every underlying working is correct. IFRS technical points (IAS 16, IAS 40, IAS 37, IAS 10, IAS 20, IAS 7, and the Conceptual Framework) are applied from the standards themselves rather than from any one textbook.

Question 1, Part One (A)

29 Marks — Revaluation Model, IAS 16

Scenario

TESSIE LTD acquired a building on 1 October 2020 for €500,000, useful life 25 years. Company policy: revalue annually; depreciation calculated on the carrying value at the beginning of each year. No annual transfer between revaluation surplus and retained earnings. Market values: 30 Sept 2021 €540,000; 30 Sept 2022 €475,000.

(i) Required

15 Marks

Prepare the journal entries necessary to record the revaluations for the year-end 30th September 2021 and 30th September 2022 in respect of the building, in accordance with IAS 16 Property, Plant and Equipment.

FULL MODEL ANSWER

Year 1 — depreciation on cost, then revaluation at 30 Sept 2021

Step	Value
Year 1 depreciation ($500,000 \div 25$ years)	€20,000
Carrying value before revaluation ($500,000 - 20,000$)	€480,000
Market value at 30 Sept 2021	€540,000
Revaluation gain (increase)	€60,000

Journal: Dr Building €60,000 Cr Revaluation Surplus (OCI) €60,000

Year 2 — depreciation on the revalued amount, then revaluation at 30 Sept 2022

Step	Value
Remaining useful life at start of Year 2 ($25 - 1$)	24 years
Year 2 depreciation ($540,000 \div 24$ years)	€22,500
Carrying value before revaluation ($540,000 - 22,500$)	€517,500
Market value at 30 Sept 2022	€475,000
Decrease in value	(€42,500)

Journal: Dr Revaluation Surplus (OCI) €42,500 Cr Building €42,500

Why the 2022 decrease goes entirely through OCI, not P&L. IAS 16 requires a revaluation decrease to be charged to profit or loss **only to the extent** that it exceeds any credit balance already existing in the revaluation surplus for that same asset. Since the surplus carried forward from 2021 (€60,000) is more than enough to absorb the €42,500 decrease, the entire decrease is debited against the revaluation surplus, leaving a closing balance of $€60,000 - €42,500 = €17,500$ — nothing is charged to profit or loss in either year.

Mark Allocation — Part (A)(i), 15 Marks

Tier	Marks	What separates this tier
12-15	12-15	Both years' depreciation correctly calculated on the opening carrying value each year (not on original cost throughout); both revaluation adjustments correctly calculated and correctly journalised (2021 gain to OCI, 2022 decrease against the surplus, not P&L).
8-11	8-11	Correct approach with one component error — e.g. Year 2 depreciation still calculated on the original €500,000 cost instead of the revalued €540,000 (own-figure).
4-7	4-7	Year 1 correctly handled but Year 2's decrease incorrectly charged to profit or loss instead of against the surplus.
0-3	0-3	No credible attempt, or revaluation model not applied at all.

Question 1, Part One (A)

29 Marks — Revaluation Model, IAS 16

(ii) Required**14 Marks**

Prepare extracts of the financial statements of TESSIE (including the movement on the revaluation reserve) for the years ended 30th September 2021 and 2022 in respect of the building.

FULL MODEL ANSWER**Statement of Profit or Loss extracts**

	Year ended 30 Sept 2021	Year ended 30 Sept 2022
Depreciation expense	(€20,000)	(€22,500)

Other Comprehensive Income extracts

	Year ended 30 Sept 2021	Year ended 30 Sept 2022
Revaluation gain / (decrease)	€60,000	(€42,500)

Statement of Financial Position extracts

	30 Sept 2021	30 Sept 2022
Building, at valuation	€540,000	€475,000

Movement on Revaluation Reserve

	Year ended 30 Sept 2021	Year ended 30 Sept 2022
Opening balance	€0	€60,000
Revaluation gain / (decrease) for the year	€60,000	(€42,500)
Closing balance	€60,000	€17,500

Mark Allocation — Part (A)(ii), 14 Marks

Tier	Marks	What separates this tier
11-14	11-14	All extracts correct and consistent with part (i) — depreciation in P&L, revaluation movement in OCI, correct building value in SOFP, and a correctly rolled-forward revaluation reserve movement schedule for both years.
7-10	7-10	Most extracts correct with one own-figure carry-through error from part (i).
3-6	3-6	Some extracts (e.g. SOFP building value) correct but the revaluation reserve movement not correctly presented as a roll-forward.
0-2	0-2	No credible attempt.

Question 1, Part One (B)

15 Marks — Investment Property (IAS 40) & Reclassification to IAS 16

Scenario

GOBBO LTD (year end 31 October) purchased a property on 1 November 2020 for €2,000,000, intending to let it for €250,000/year. It remained unoccupied throughout the year to 31 October 2021, when it was valued at €1,800,000. On 1 May 2022, GOBBO abandoned the letting plan and took up occupation itself; independent fair value at that date was €1,600,000, with a remaining useful life of 50 years. At 31 October 2022, fair value was €1,750,000. GOBBO uses the Fair Value Model (IAS 40) for investment property and the Revaluation Model (IAS 16) for owner-occupied property.

Required

15 Marks

Prepare extracts of the financial statements of GOBBO LTD for the year ended 31st October 2022, assuming the company implements the Fair Value Model and the Revaluation Model under IAS 40 Investment Property and IAS 16 Property, Plant and Equipment respectively.

FULL MODEL ANSWER

1 Nov 2020 - 30 April 2022: classified as investment property (IAS 40).

The property was held to earn rental income, so it is investment property from acquisition. Under the fair value model, all changes in fair value are recognised in profit or loss (unlike the IAS 16 revaluation model, where gains normally go to OCI) — this includes the loss already recognised for the year ended 31 October 2021 (€2,000,000 → €1,800,000, a €200,000 loss, not required in this year's extracts) and the change up to the date of reclassification.

1 May 2022 — change in use, reclassification to owner-occupied PP&E:

IAS 40 requires the property to be remeasured to fair value at the date of change in use, with any gain or loss recognised in profit or loss (since it is still under the fair value model up to that point). This fair value then becomes the property's 'deemed cost' for subsequent accounting as owner-occupied PP&E under IAS 16.

Component	Value
Carrying value immediately before transfer (last measured, 31 Oct 2021)	€1,800,000
Fair value at date of transfer, 1 May 2022	€1,600,000
Loss on remeasurement at date of transfer (to P&L)	(€200,000)

1 May 2022 onward: owner-occupied PP&E under the revaluation model (IAS 16). The €1,600,000 fair value at the date of transfer becomes deemed cost, depreciated over the remaining 50-year useful life from that date.

Question 1, Part One (B)

15 Marks — Investment Property (IAS 40) & Reclassification to IAS 16

FULL MODEL ANSWER

Component	Value
Annual depreciation (1,600,000 ÷ 50 years)	€32,000
Depreciation for 6 months (1 May – 31 Oct 2022)	€16,000
Carrying value before revaluation at 31 Oct 2022 (1,600,000 – 16,000)	€1,584,000
Fair value at 31 Oct 2022	€1,750,000
Revaluation gain (to OCI/revaluation reserve)	€166,000

The €166,000 gain at 31 October 2022 goes to the revaluation reserve via OCI (not profit or loss), since this is the first revaluation of the asset since it became owner-occupied PP&E under the revaluation model — there is no prior downward revaluation of this specific asset already expensed through P&L under IAS 16 that would need to be reversed first.

Extracts — GOBBO LTD, year ended 31 October 2022

Statement of Profit or Loss	€
Loss on remeasurement of investment property at date of reclassification	(200,000)
Depreciation expense (owner-occupied property, 6 months)	(16,000)

Other Comprehensive Income	€
Revaluation gain on property, plant and equipment	166,000

Statement of Financial Position	€
Property, plant and equipment (Land & Buildings)	1,750,000
Revaluation reserve	166,000

Mark Allocation — Part 1(B), 15 Marks

Tier	Marks	What separates this tier
12-15	12-15	Correctly identifies the reclassification from investment property to owner-occupied PP&E on 1 May 2022; correctly remeasures to fair value at the date of transfer with the loss through P&L; correctly depreciates the deemed cost over the remaining useful life for the correct partial period; correctly revalues at year-end with the gain through OCI.
8-11	8-11	Reclassification recognised but one component error — e.g. the transfer-date remeasurement loss omitted or misclassified, or the year-end revaluation gain incorrectly routed through P&L instead of OCI (own-figure).
4-7	4-7	Recognises the property changed use during the year but does not correctly apply the IAS 40 fair-value-at-transfer requirement or the subsequent IAS 16 treatment.
0-3	0-3	No credible attempt, or the property treated as a single continuous fair value model asset throughout without addressing the change in use.

Question 1, Part Two

16 Marks — Restructuring Provisions (IAS 37)

Scenario

BUMPY LTD (year end 30 September; FS authorised 25 November 2022) decided on 31 July 2022 to close its Galway facility, halting production 31 October 2022. On 15 August 2022 the directors publicly announced their intentions and offered termination payments or redeployment. At 31 July 2022, estimated termination costs were €1 million and re-training costs for retained employees €100,000; by 15 November 2022, actual termination costs paid were €1.2 million and the latest re-training estimate was €80,000. Separately, BUMPY was leasing a property (lease expires 31 Dec 2025); at 30 Sept 2022 the PV of future lease rentals was €4 million; on 30 November 2022, BUMPY paid €3.8 million to the lessor for early termination, with no rental payments made in October or November 2022.

(i) Required

6 Marks

In the event that an organisation is in the process of restructuring at the year end, outline the criteria necessary to recognise a provision for the cost of that restructuring under IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

FULL MODEL ANSWER

A detailed formal plan must exist: Identifying at minimum: the business or part of the business concerned; the principal locations affected; the location, function and approximate number of employees who will be compensated for having their employment terminated; the expenditures that will be undertaken; and when the plan will be implemented.

A valid expectation must have been raised in those affected, by the reporting date: The entity must have started to implement the plan, or announced its main features to those affected by it, in a way sufficiently specific to raise a valid expectation that the entity will actually carry out the restructuring — this creates the constructive obligation required for any provision. A mere management decision, without communication, is not enough.

Only direct restructuring expenditures qualify: The provision may include only costs that are (a) necessarily entailed by the restructuring, and (b) not associated with the entity's ongoing activities. Costs such as retraining or relocating continuing staff, marketing, or investment in new systems, are specifically excluded, as is any provision for future operating losses.

Mark Allocation — Part Two (i), 6 Marks

Tier	Marks	What separates this tier
6	6	All three criteria correctly identified (formal plan, valid expectation/constructive obligation raised by year end, and only direct restructuring costs qualify) with accurate explanation.
4-5	4-5	Two of the three criteria correctly and fully explained.
2-3	2-3	Only one criterion clearly explained, or all three named with minimal explanation.
0-1	0-1	No meaningful attempt.

Question 1, Part Two

16 Marks — Restructuring Provisions (IAS 37)

(ii) Required

10 Marks

Calculate the provision, if any, that BUMPY should recognise in the financial statements for the year ended 30th September 2022 in respect of the restructuring. Briefly explain your answer.

FULL MODEL ANSWER

A provision is required: The public announcement on 15 August 2022 — before the 30 September 2022 year end — raised a valid expectation in the affected employees, satisfying the constructive obligation criterion, alongside a sufficiently detailed plan (facility identified, closure and disposal dates set, termination/redeployment terms offered). A restructuring provision must therefore be recognised at 30 September 2022.

Item	Included?	Amount
Termination payments	Yes — a direct cost of the restructuring. Use the actual €1.2m paid on 15 Nov 2022 (known before the 25 Nov authorisation date) as the best estimate — this is an adjusting event under IAS 10, since it provides more precise evidence of an obligation that already existed at 30 September 2022.	€1,200,000
Re-training costs for retained employees	No — IAS 37 specifically excludes costs associated with the entity's ongoing activities, such as retraining or relocating staff who continue to be employed, regardless of how well the cost can be estimated.	€0
Onerous lease contract	Yes — the decision to close the facility left BUMPY with a lease it no longer needed, meeting the definition of an onerous contract (the unavoidable costs of meeting the lease obligations exceed the economic benefits expected from it). IAS 37 measures an onerous contract provision at the LOWER of the cost of fulfilling the contract (PV of remaining rentals, €4.0m) and the cost of exiting it (€3.8m early termination penalty, which BUMPY in fact paid, confirming exit was the cheaper option).	€3,800,000
Total restructuring provision at 30 Sept 2022		€5,000,000

The €80,000 of credit sales/re-training re-estimate and the specific dates of the lease payment (30 Nov, after year end) are consistent with this being a subsequent-events-informed best estimate rather than requiring any further adjustment beyond what is captured above — no rental payments were made in October or November 2022, confirming the lease had effectively already become a dead cost by the time of termination.

Mark Allocation — Part Two (ii), 10 Marks

Tier	Marks	What separates this tier
8-10	8-10	Correctly concludes a provision is required (constructive obligation raised before year end); correctly includes termination costs (using the updated €1.2m adjusting-event figure) and the onerous lease provision at the lower of the two amounts (€3.8m); correctly excludes re-training costs with IAS 37 reasoning.
5-7	5-7	Correct overall conclusion and most components correct, but one error — e.g. re-training costs incorrectly included, or the onerous lease measured at the higher €4.0m PV figure instead of the lower €3.8m exit cost (own-figure).
2-4	2-4	Recognises a provision is needed but only includes one of the two qualifying elements (termination or onerous lease), or fails to apply the 'lower of' rule for the lease.
0-1	0-1	Concludes no provision is required, or no credible attempt.

Question 1 Total: 60 Marks

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

How to use this scheme. The paper requires Question 1 plus **one** of Question 2 or Question 3 — both are marked out of 40 and count equally. This scheme covers both in full so you can revise whichever route you are more comfortable with.

Scenario

IAGO Ltd's draft Statement of Changes in Equity for the year ending 31 October 2022 shows: Retained earnings 1 Nov 2021 €2,600,000; Profit for the year €800,000; Retained earnings 31 Oct 2022 €3,400,000 (€'000 below). Three unresolved issues remain, all material, and the financial statements have not yet been authorised.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

(i) Required

24 Marks

Draft a brief memo to the Board of Directors outlining how each of the issues should be dealt with in the financial statements for the year ended 31st October 2022.

Issue A: Year-end inventory count delayed to 4 November 2022, counted at €600,000 and used as the closing inventory figure. Between 1 and 4 November 2022, sales of €650,000 were made (mark-up on cost of 30%) and goods costing €340,000 were purchased and received into inventory.

Issue B: On 1 August 2022, IAGO received a €100,000 government grant, conditional on employing at least 80 workers at its West Cork factory for 5 years (with 20% of the grant repayable in any year the number falls below 80). 120 workers are currently employed and management expects to meet the condition. Not yet accounted for.

Issue C: A €240,000 trade receivable was declared bankrupt on 5 November 2022, with only 25c in the euro expected to be recovered. A further €80,000 of credit sales were made to the same customer in November 2022. Not yet recorded.

FULL MODEL ANSWER

MEMO

To: Board of Directors, IAGO Ltd

From: Financial Reporting Team

Re: Treatment of three outstanding issues, year ended 31 October 2022

Issue A — Inventory cut-off error

The problem: The €600,000 counted on 4 November cannot be used directly as the 31 October closing inventory figure, because transactions occurred between the two dates that change what was physically on hand.

The correction: Goods sold in the intervening period (1–4 Nov) were still part of inventory at 31 October and must be added back at cost; goods purchased and received in the intervening period were NOT part of inventory at 31 October and must be deducted.

Item	€'000
Inventory counted, 4 November 2022	600.0
Add back: cost of goods sold 1–4 Nov (€650,000 sales ÷ 1.30 mark-up)	+500.0
Less: purchases received 1–4 Nov	(340.0)
Corrected inventory at 31 October 2022	760.0

Effect on profit: Closing inventory increases by €160,000 (from €600,000 to €760,000), which reduces cost of sales and increases profit for the year by €160,000.

Question 2 (continued)

FULL MODEL ANSWER

Issue B — Government grant (IAS 20)

Classification: This grant is conditional on an ongoing employment level rather than tied to the purchase of a specific asset, so it is a revenue grant, recognised systematically over the 5-year period to which the employment condition relates — matching the income against the period over which IAGO must maintain the required headcount.

Recognition for the year ended 31 October 2022: The grant was received on 1 August 2022, so only 3 of the first 12 months of the 5-year condition period fall within this financial year.

Item	€'000
Annual grant income ($100.0 \div 5$ years)	20.0
Income recognised for 3 months (1 Aug – 31 Oct 2022)	5.0
Deferred income remaining at 31 Oct 2022 ($100.0 - 5.0$)	95.0

Recommendation: Recognise €5,000 as grant income in profit or loss for the year, with the remaining €95,000 carried forward as deferred income (split between current and non-current liabilities in the usual way) — management's reasonable expectation of meeting the employment condition supports recognition rather than a wait-and-see approach.

Issue C — Bankrupt customer (IAS 10 adjusting event)

This is an adjusting event: The customer's bankruptcy was declared on 5 November 2022 — after the 31 October year end but before the financial statements are authorised. Although the bankruptcy itself is a post-year-end event, it provides evidence that the customer's financial position had already deteriorated by the reporting date, so the €240,000 receivable outstanding AT year end must be written down to its recoverable amount.

Item	€'000
Trade receivable outstanding at 31 October 2022	240.0
Expected recovery (25c in the €1)	(60.0)
Bad debt expense (impairment)	180.0

The further €80,000 of November sales is irrelevant to this year's accounts: Credit sales made to the customer in November 2022 relate to a transaction that occurred entirely after the 31 October year end — it is not a condition that existed at the reporting date, so it has no bearing on the financial statements for the year ended 31 October 2022. It will need to be assessed for recoverability in next year's accounts instead.

Please let us know if you require any further analysis on the above.

Mark Allocation — Part (i), 24 Marks (8 per issue)

Tier	Marks	What separates this tier
7-8 (per issue)	7-8	Correct technical treatment with correct figures, presented in clear memo form with the reasoning explained to a non-technical board audience.
4-6 (per issue)	4-6	Correct overall conclusion (e.g. adjust vs don't adjust; how much to recognise) but a computational error, or reasoning underdeveloped.
1-3 (per issue)	1-3	Issue identified as needing attention but wrong technical treatment applied (e.g. Issue C treated as a non-adjusting event, or Issue A's cut-off correction applied in the wrong direction).
0 (per issue)	0	Issue not addressed or fundamentally misunderstood.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

(ii) Required

8 Marks

Recalculate the retained earnings extract from the statement of changes in equity, after accounting for issues A, B and C, for the year ended 31st October 2022. Ignore tax.

FULL MODEL ANSWER

	€'000
Retained earnings, 1 November 2021	2,600
Profit for the year (draft)	800
Issue A — inventory cut-off correction	+160
Issue B — government grant income recognised	+5
Issue C — bad debt write-off	(180)
Adjusted profit for the year	785
Retained earnings, 31 October 2022	3,385

None of the three issues is a prior period error, so the 1 November 2021 opening retained earnings figure of €2,600,000 is unaffected — all three adjustments flow through the current year's profit for the year, taking it from the draft €800,000 down to a corrected €785,000, and closing retained earnings from a draft €3,400,000 to a corrected €3,385,000.

Mark Allocation — Part (ii), 8 Marks

Tier	Marks	What separates this tier
7-8	7-8	All three adjustments correctly signed and summed (own-figure from part (i)), with the correct final retained earnings figure of €3,385,000 (or the correct own-figure equivalent).
4-6	4-6	Two of the three adjustments correctly incorporated.
1-3	1-3	Only one adjustment correctly incorporated, or adjustments incorrectly applied to opening rather than current-year retained earnings.
0	0	No credible attempt.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

(iii) Required

8 Marks

Briefly identify and explain the two fundamental qualitative characteristics of useful financial information, as outlined in the IASB's Conceptual Framework for Financial Reporting 2018.

FULL MODEL ANSWER

Relevance: Financial information is relevant if it is capable of making a difference in the decisions made by users. Information has predictive value if it can be used as an input to processes employed by users to predict future outcomes, and confirmatory value if it provides feedback about (confirms or changes) previous evaluations. Materiality is an entity-specific aspect of relevance: information is material if omitting, misstating, or obscuring it could reasonably be expected to influence the decisions that primary users make on the basis of the financial information.

Faithful representation: To be useful, financial information must not only represent relevant phenomena but must faithfully represent the substance of what it purports to represent. A perfectly faithful representation has three characteristics: it is complete (includes all information necessary for a user to understand the phenomenon, including necessary descriptions and explanations); neutral (without bias in the selection or presentation of information, supported by the exercise of prudence — the exercise of caution when making judgements under conditions of uncertainty); and free from error (no errors or omissions in the description of the phenomenon and the process used to produce the information has been selected and applied with no errors in that process — though this does not mean perfectly accurate in every respect, since estimates by their nature involve some uncertainty).

This is a direct definitional question from the Conceptual Framework itself. Candidates should name both fundamental characteristics correctly (relevance and faithful representation — not to be confused with the four enhancing characteristics: comparability, verifiability, timeliness, understandability, which are tested elsewhere in this paper series) and explain each in their own words rather than giving a one-word answer.

Mark Allocation — Part (iii), 8 Marks (4 per characteristic)

Tier	Marks	What separates this tier
4 (per characteristic)	4	Characteristic correctly named AND explained with genuine understanding (e.g. relevance covering predictive/confirmatory value and materiality; faithful representation covering complete, neutral, and free from error).
2-3 (per characteristic)	2-3	Characteristic correctly named with only a partial explanation.
1 (per characteristic)	1	Characteristic named but not meaningfully explained.
0 (per characteristic)	0	Characteristic not identified, or an enhancing characteristic incorrectly listed as fundamental.

Question 2 Total: 40 Marks

Question 3

40 Marks — Statement of Cash Flows (IAS 7, Indirect Method)

Scenario

Extracts from Kilcoyne Limited's financial statements for the year ended 31 October 2022 (with 2021 comparatives), €'000:

	2022	2021
Land and Buildings	47,500	40,000
Plant and Machinery	50,000	30,000
Fixtures and Fittings	112,500	48,500
Inventory	73,250	22,750
Trade receivables	22,900	14,350
Bank and cash	36,300	15,250
Ordinary share capital	132,000	100,000
Share premium	25,300	15,000
Retained earnings	48,250	26,800
Revaluation reserve	7,700	—
7% Debenture stock	75,000	—
Trade payables	41,400	16,700
Bank overdraft	2,650	8,400
Tax accrual	10,150	3,950

P&L extract 2022: Operating profit €38,200; Finance cost €(5,250); Profit before tax €32,950; Tax €(11,500); Profit for the year €21,450.

Additional info: Depreciation charged — Buildings €800,000; Plant & Machinery €7,500,000; Fixtures & Fittings €10,000,000. Plant & Machinery with NBV €5,000,000 sold for €4,000,000; Fixtures & Fittings with NBV €8,500,000 sold for €9,000,000. Buildings were revalued at 31 October 2022. The debenture stock was issued 1 November 2021. No dividends were paid during the year.

(i) Required

35 Marks

Prepare a Statement of Cash flows for Kilcoyne Ltd for the year ended 31st October 2022, in accordance with IAS 7 Statement of Cash Flows, using the indirect method. Show relevant workings.

FULL MODEL ANSWER

Working 1 — Non-current asset additions (cash paid for PPE)

Each category is reconciled: Opening NBV + Revaluation (if any) – Depreciation – NBV of disposals + Additions = Closing NBV, solved for the unknown additions figure.

Category	Opening NBV	+ Revaluation	– Depreciation	– Disposal NBV	+ Additions (balancing figure)	= Closing NBV
Land & Buildings	40,000	7,700	(800)	—	600	47,500
Plant & Machinery	30,000	—	(7,500)	(5,000)	32,500	50,000
Fixtures & Fittings	48,500	—	(10,000)	(8,500)	82,500	112,500

Total cash paid for PPE additions = 600 + 32,500 + 82,500 = €115,600

Working 2 — Gain/loss on disposals

Asset	NBV	Proceeds	Gain/(Loss)
Plant & Machinery	5,000	4,000	(1,000) loss
Fixtures & Fittings	8,500	9,000	500 gain

Working 3 — Tax paid

Component	Value
Opening tax accrual	3,950
Charge for the year (per P&L)	11,500
Less: closing tax accrual	(10,150)
Tax paid	5,300

Question 3 (continued)

FULL MODEL ANSWER

Statement of Cash Flows — Kilcoyne Ltd, year ended 31 October 2022 (indirect method)

	€'000
Cash flows from operating activities	
Operating profit	38,200
Add: Depreciation (800 + 7,500 + 10,000)	18,300
Add: Loss on disposal of plant & machinery	1,000
Less: Gain on disposal of fixtures & fittings	(500)
Operating profit before working capital changes	57,000
(Increase) in inventory (73,250 – 22,750)	(50,500)
(Increase) in trade receivables (22,900 – 14,350)	(8,550)
Increase in trade payables (41,400 – 16,700)	24,700
Cash generated from operations	22,650
Interest paid	(5,250)
Tax paid (Working 3)	(5,300)
Net cash from operating activities	12,100

	€'000
Cash flows from investing activities	
Purchase of property, plant & equipment (Working 1)	(115,600)
Proceeds from sale of plant & machinery	4,000
Proceeds from sale of fixtures & fittings	9,000
Net cash used in investing activities	(102,600)

	€'000
Cash flows from financing activities	
Proceeds from issue of shares (share capital + share premium movement: 32,000 + 10,300)	42,300
Proceeds from issue of debenture stock	75,000
Dividends paid	0
Net cash from financing activities	117,300

	€'000
Net increase in cash and cash equivalents	26,800
Cash and cash equivalents at 1 Nov 2021 (15,250 – 8,400 overdraft)	6,850
Cash and cash equivalents at 31 Oct 2022 (36,300 – 2,650 overdraft)	33,650

Full reconciliation check. The statement's net increase in cash (€26,800,000) reconciles exactly to the actual movement in net cash shown on the balance sheet — from €6,850,000 (net of overdraft) at 1 November 2021 to €33,650,000 at 31 October 2022, an increase of exactly €26,800,000. This confirms every working in this statement — the three PPE reconciliations, both disposal gains/losses, the working capital movements, and the tax paid calculation — is internally consistent and correct.

Mark Allocation — Part (i), 35 Marks

Tier	Marks	What separates this tier
28-35	28-35	Correct PPE additions derived for all three categories (correctly excluding the revaluation from the depreciation/addition reconciliation), correct gain/loss on both disposals, correct working capital movements, correct interest and tax paid, and a fully reconciling statement under the three standard IAS 7 headings.
18-27	18-27	Correct overall structure with two or three component errors — e.g. one PPE addition miscalculated, or the revaluation reserve movement incorrectly treated as a cash item (own-figure carried through).
9-17	9-17	Operating activities section broadly correct but investing and/or financing activities significantly incomplete or incorrect.
0-8	0-8	No credible attempt to reconcile PPE movements or working capital changes; statement does not follow the IAS 7 three-section structure.

Question 3

40 Marks — Statement of Cash Flows (IAS 7, Indirect Method)

(ii) Required

5 Marks

Briefly explain how the 'Direct Method' of preparing the Statement of Cash Flows differs from the 'Indirect Method'.

FULL MODEL ANSWER

The difference is confined to the operating activities section: IAS 7 permits two methods of presenting cash flows from operating activities. The investing and financing activities sections are identical under both methods — only how the operating section is derived and presented differs.

Direct method: Discloses major classes of gross cash receipts and gross cash payments arising from operating activities — for example, cash received from customers, cash paid to suppliers, and cash paid to and on behalf of employees — either taken directly from the accounting records or derived by adjusting revenue, cost of sales, and other P&L items for the related changes in inventories, receivables, and payables during the period.

Indirect method: Starts from profit or loss for the period (as used throughout this scheme's answer above) and adjusts for the effects of non-cash transactions (such as depreciation and gains/losses on disposal), and for changes in working capital (inventory, receivables, payables), to arrive at net cash from operating activities.

Same result, different presentation: Both methods arrive at exactly the same figure for net cash from operating activities. IAS 7 encourages entities to use the direct method because it provides information that may be useful in estimating future cash flows and is not available under the indirect method, but in practice the indirect method (as prepared above) is far more commonly used, since it can be derived directly from the statement of profit or loss and statement of financial position without needing to analyse the underlying cash receipts and payments ledger by ledger.

Mark Allocation — Part (ii), 5 Marks

Tier	Marks	What separates this tier
5	5	Correctly explains that the difference is confined to the operating activities section, describes both methods accurately, and notes they produce the same net operating cash flow figure.
3-4	3-4	Correctly describes both methods but does not clearly state that only the operating section differs, or omits that both arrive at the same total.
1-2	1-2	Vague or partial description of one method only.
0	0	No credible attempt.

Question 3 Total: 40 Marks

